

NextEra Energy, Inc.

NEE NYSE

Buy **\$89.69 ▲ 1.48%** **12M Price Target \$98.00** **52-Week Range \$69.24 – \$98.75**

Market Cap \$187.06B

NEE: Grinding Higher as Utilities Catch AI Power Bid

WHAT HAPPENED

- NEE popped 1.5% to \$89.69 on light volume — this is a grind higher, not a breakout. It's tracking the whole utility sector (XLU +0.81%), which tells me the move is macro (rates, AI power demand narrative) rather than company-specific news.
- The Zacks piece teeing up an earnings beat and the Constellation "rising electricity needs" story are both pointing at the same theme: data centers need power, and NEE is the biggest renewables developer in the country. That narrative is doing the heavy lifting on the tape.

WHY IT MATTERS

Here's the tension you need to see: the stock is up and grinding toward 52-week highs (\$98.75), but the options market is flashing bearish — put/call ratio of 1.47 with unusual put buying at \$90, \$91, \$93 strikes expiring this month. Translation: someone is either hedging into earnings (late July) or betting the AI-power hype has gotten ahead of the fundamentals. My read is it's mostly hedging — institutions own 87% of this thing, and when you own that much you buy puts before earnings as insurance, not as a directional bet. The bigger implication: NEE is transitioning from a "boring utility" narrative to a "picks-and-shovels AI infrastructure" narrative, and that re-rating is what's driving the stock — but it also means earnings and forward guidance matter more than they used to.

POLICY & POLITICAL WATCH

The single biggest policy variable for NEE is the fate of the Inflation Reduction Act's clean energy tax credits (the Production Tax Credit and Investment Tax Credit) — these are worth billions to NEE's renewables pipeline. The current administration has been chipping away at them via Treasury guidance rather than full repeal, which is actually the "least bad" outcome for NEE because it creates uncertainty for smaller developers but NEE has the scale to navigate it. Also watch FERC transmission rules and any executive action on data center permitting — faster permitting = faster power contracts = faster revenue for NEE.

IS IT EXPENSIVE?

At roughly 24x forward earnings — meaning you're paying \$24 for every \$1 of profit expected next year — NEE trades at a premium to boring utilities (Duke, Southern at ~18-19x) but a discount to "AI power" darlings like Constellation (~28x). That premium is justified IF the renewables backlog keeps converting to contracted cash flow; it's expensive if IRA credits get gutted. Fair, not cheap.

WHAT COULD GO WRONG

Key Data

Price (USD)	\$89.69
12M Price Target	\$98.00
Upside / (Downside)	+9.3%
Market Cap	\$187.06B
FY2026E Revenue	\$27,800M
FY2027E Revenue	\$30,100M
FY2026E EPS	\$3.65
FY2027E EPS	\$3.95
Fwd P/E	24.6x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$94.00	\$90.00	\$85.00
6 Months	\$102.00	\$95.00	\$82.00
1 Year	\$110.00	\$98.00	\$78.00
2 Years	\$130.00	\$110.00	\$70.00
5 Years	\$175.00	\$140.00	\$65.00
10 Years	\$260.00	\$190.00	\$60.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Utilities and Energy — both catching a bid because AI data centers are the new "growth story" for boring power stocks. Financials leading today on the Wells Fargo beat, suggesting the market is comfortable adding risk.

COOLING OFF: Materials and Industrials are lagging on the 5-day — tariff uncertainty and manufacturing softness weighing on cyclical.

ROTATION WATCH: Money is quietly moving from pure-play tech (Tech only +0.23% today) into "AI-adjacent" plays like utilities. That's a direct tailwind for NEE — generalist funds are buying utilities as a backdoor AI trade.

RELATED PLAY: If NEE runs, the transmission and grid equipment names (GEV, ETN, EMR) benefit even more directly — they sell the picks and shovels to build out the grid NEE needs.

WHO'S WINNING IN THIS SPACE?

- CEG (Constellation Energy): Nuclear + data center PPAs are the purest AI-power play; running harder than NEE because nuclear is politically bipartisan right now.
- VST (Vistra): Similar nuclear/gas AI-power story, up huge over the past year.

NEE CONTEXT: NEE is lagging the pure-play AI-power names because it's still perceived as half-utility, half-renewables. That's actually the opportunity — if the market wakes up to how much data center power NEE is contracting, the multiple gap closes and NEE catches up.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — Solid setup with real tailwinds, but earnings in ~2 weeks and put flow says wait for confirmation.

POSITION SIZE: 3-5% of portfolio — this is a core holding, not a lottery ticket. Big, liquid, dividend-paying.

ENTRY POINTS: I'd nibble under \$88 and get more aggressive if it pulls back to \$85 on a rates scare. Chasing at \$92+ pre-earnings is asking for trouble.

TIME HORIZON: 12-24 months. The catalyst is the AI-power narrative fully re-rating utilities, which is a multi-year story, not a one-quarter trade.

WHEN TO BAIL: If IRA tax credits get formally repealed, or if they cut the dividend, I'm out. Also out if Florida regulators reject their next rate case badly.

HEDGING: If you're worried about a rates spike, own some short-duration Treasuries or TLT puts alongside — those move opposite to utility stocks and cushion the blow.